

had a positive effect on emerging market banking, and Dalio's disaster forecast never materialized.

However, it was a disaster for Bridgewater Associates, and the firm almost went bankrupt. He had to lay off all his employees and borrow money from his father to support his wife and two young children. He wrote, "I am still shocked and embarrassed by how arrogant I was."

But from failure comes rebirth: Dalio rebuilt his firm from scratch; he looked at failures—from ordinary flops to major disasters and every error in between—as fodder for future gains. Each error was an opportunity to learn something new and get better as an investor. "Principles" are what came out of his public failure.

Dalio insists the key to his turnaround was in discovering new wisdom from mistakes. He created a broad set of rules to "fail well":

- View mistakes as opportunities to improve. He calls this "mistake-based learning."
- Own your errors. Never hide them, but bring them forward to create a learning opportunity.
- Pain + reflection = progress. The "pain of failure" should lead to reflection, from which your wisdom derives.
- Track what you do; keep systemizing what you learn from your mistakes.

Embracing failure was the key to Dalio's success. It can also be the key to yours.



What is in your control? What's not? Understanding the difference is our next chapter.